Answer Key - Economics - Graduate Level Assessment 23 (Answers are ordered exactly as in the question paper.)

Multiple Choice

1. **Answer:** D
   Options: A) Brand reputation and advertising; B) Demand and supply; C) Technological innovation and research and development; D) Production function and prices of inputs; E) Company's ethical policies and social responsibility initiatives
   Note: The correct answer is based on the understanding that a firm's production function outlines the relationship between input combinations and output levels, while the prices of inputs directly affect the cost of production, thereby influencing the optimal choice of inputs to maximize profitability.

2. **Answer:** C
   Options: A) decreasing AD with constant SRAS.; B) a decrease in AD with increasing SRAS.; C) decreasing SRAS with constant AD.; D) increasing both AD and SRAS.; E) a decrease in AD and an increase in SRAS.
   Note: Stagflation occurs when decreasing short-run aggregate supply (SRAS) leads to higher prices and lower output simultaneously, while aggregate demand (AD) remains constant, creating a situation of stagnant economic growth and inflation.

3. **Answer:** A
   Options: A) 20; B) 5; C) 30; D) 15; E) 12
   Note: The correct answer is 20 because the velocity of money is calculated by dividing the total value of transactions $(100,000)bythemoneysupply(10$,000), resulting in a velocity of 20.

4. **Answer:** D
   Options: A) A decrease in both supply and demand and an ambiguous change in interest rates.; B) An increase in supply lowering the interest rate.; C) A decrease in demand increasing the interest rate.; D) An increase in demand increasing the interest rate.; E) A decrease in supply increasing the interest rate.
   Note: An increase in corporate optimism leads to higher expected future profits, prompting firms to demand more loanable funds for investment, which in turn raises the equilibrium interest rate in the market.

5. **Answer:** D
   Options: A) this will cause the supply of the product to decrease right now.; B) this will have no effect on the amount of the product supplied right now.; C) this will have no effect on the supply of the product now or later.; D) this will cause the supply of the product to increase right now.; E) this will cause the supply of the product to decrease in the future.
   Note: Firms anticipating a future decrease in price will increase current supply to sell more at higher prices before the expected drop, reflecting the principle of supply responsiveness to price expectations.

True / False

6. **Answer:** True
   Options: A) True; B) False
   Note: When both the demand and supply curves are price inelastic, consumers are less responsive to price changes, leading them to bear a larger portion of the tax burden because producers can pass on most of the tax to them without a significant drop in quantity demanded.

7. **Answer:** False
   Options: A) True; B) False
   Note: Inflation can erode purchasing power, create uncertainty in investment decisions, and disproportionately affect low-income households, which can hinder long-term economic growth and stability.

8. **Answer:** False
   Options: A) True; B) False
   Note: Unions primarily negotiate terms and conditions of employment at the workplace level and do not have the authority or ability to influence national employment rates, which are determined by broader economic factors and government policies.

9. **Answer:** False
   Options: A) True; B) False
   Note: A white noise process is characterized by having a zero mean and constant autocovariance at zero lag, while autocovariances at all other lags are zero, thus making the statement false.

10. **Answer:** True
    Options: A) True; B) False
    Note: A price floor in the coffee market sets a minimum price above the equilibrium level, leading to a situation where the quantity supplied exceeds the quantity demanded, resulting in a persistent surplus of coffee.

Long Form Response

11. **Answer:** A nearly perfectly elastic demand for money implies that as interest rates rise, the quantity of money demanded drops sharply, as individuals are highly sensitive to changes in interest rates. This sensitivity can limit a central bank's ability to implement effective expansionary monetary policy because any attempt to lower interest rates to stimulate borrowing and spending may result in a significant outflow of money from bank deposits to alternative assets, such as bonds or stocks, that offer better returns. For instance, during periods of low interest rates, if consumers perceive that returns on investments outweigh the benefits of holding cash, they may withdraw funds, leading to liquidity issues for banks and reducing the overall effectiveness of monetary policy. Consequently, even with an increase in the money supply, if the demand for money remains highly elastic, the anticipated boost in economic activity

may not materialize, highlighting the challenges central banks face in such scenarios.
Note: correct because it accurately describes how a nearly perfectly elastic demand for money leads to a dramatic decrease in money demand as interest rates increase, thereby undermining the effectiveness of a central bank's efforts to lower rates and encourage economic activity through expansionary monetary policy.

12. **Answer:** Economic models, while essential for understanding complex economic behavior, pose significant dangers due to over-simplification and over-reliance. Over-simplification occurs when models reduce multifaceted realities into overly simplistic variables and relationships, thereby neglecting critical factors such as social, political, and psychological influences. This can lead to misleading conclusions and poor policy decisions, as the model may fail to account for unpredictable human behavior or external shocks. Additionally, over-reliance on these models can result in a false sense of certainty, where policymakers and analysts may ignore real-world complexities in favor of model outputs. Ultimately, the misuse of economic models can undermine their predictive power and lead to detrimental economic outcomes.
Note: correct because it emphasizes how the inherent simplification of economic models can overlook essential complexities and variables, leading to inaccurate interpretations and potentially harmful policy implications.

End of Answer Key